

A stock index is used to describe the performance of the stock market, or a specific portion of it, and to compare returns of investments.

In simple terms, a stock index is a benchmark or performance measurement for your investments. It's useful when you compare the historical and current performance of the index to the performance of your current investments as a way to gauge how your investments are doing. There are over 5,000 indices that make up the U.S. stock market, but three of the most followed indices are:

1. **The Dow Jones Industrial Average (DJIA).** Commonly referred to as the Dow Jones; measures the stock performance of 30 large corporations from various industries in the United States that are publicly traded on the U.S. stock exchange. Since this index only measures 30 companies, it does not necessarily indicate how the overall stock market is doing.
2. **The Standard & Poor's 500 index.** Commonly referred to as the S&P 500; measures the stocks of approximately 500 large corporations in the United States that have their common stock listed on the NYSE or NASDAQ and make up ~75% of the U.S. stock market.
3. **The NASDAQ Composite.** Commonly referred to as the NASDAQ; measures the stock of over 3,000 corporations primarily in technology, but also in the financial, industrial, insurance, and transportation industries both in the United States and internationally.

For the performance of the overall U.S. stock market, the **Wilshire 5000 index** measures almost all publicly traded U.S. corporations and can be used as a representation of how the overall stock market is performing. It's made up of over 6,700 publicly traded companies.

Indices are an important part of the stock market and the economy as a whole, since they measure the performance of the companies in various industry sectors that make up the stock market and contribute heavily to the economy itself. Later we'll get into how investing in index funds can be used as a long-term wealth building strategy.